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RIDING A BREAKOUT

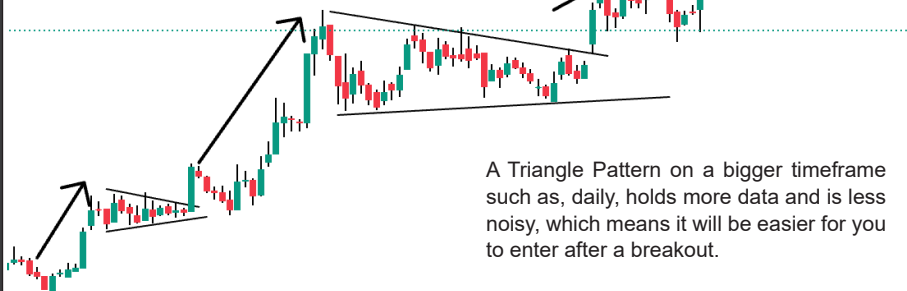


Strategy video



When the bull run began after the Covid crash in the Indian stock market, I noticed a particular pattern in the stocks - consolidation and break out with huge volume. This consolidation and breakout is called the Triangle Pattern.

A Triangle Pattern is formed when the price soars and then goes into consolidation making lower highs and higher lows. The range gets narrower as the day passes and volumes are squeezed out. When I observed this pattern, it was clear in my head that a breakout was about to come. Once the price breaks the resistance, the stock rallies and makes new highs.



A Triangle Pattern on a bigger timeframe such as, daily, holds more data and is less noisy, which means it will be easier for you to enter after a breakout.